FROM THE

EDITOR-IN-CHIEF

The hot-button issue of the recent election, in which the NDA did not do as well as expected, was unemployment. Finance Minister Nirmala Sitharaman has taken heed of it and focused Budget 2024 on "job creation". According to a Word Cloud analysis, she mentioned the word 'employment' only three times in last year's budget as opposed to 23 times this year. Taking the bull by its horns, she announced an innovative Five-Fold Path targeting 41 million youth with a Rs 2 lakh crore outlay over five years. The scale of the problem is gigantic—the Economic Survey 2023-24 estimates the current Indian workforce at 565 million. Of these, over 45 per cent are employed in agriculture. They contribute barely 18.2 per cent to the GDP; the bulk comes from services, manufacturing and construction, with nearly 55 per cent of the labour. So, only a decisive shift of labour away from farming to the more productive sectors will tackle disguised/underemployment. The Survey reckons India has to generate close to 8 million jobs annually in the non-farm sectors up to 2030 to absorb all those ready to join the workforce. Here's where the problem goes beyond one of mere scale: against a skyrocketing demand for skilled labour, only one in two graduates of Indian colleges is employable, according to the Survey. The others are "deemed unemployable" as they lack "the skills needed by a modern economy". So, it's not just jobs that have to be created, a youthful workforce has to be prepared simultaneously for a job market defined by rapid technological changes and newer skill sets.



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Budget 2024, while rolling out significant measures to stimulate growth, goes beyond the failed paradigm of chasing job creation as a byproduct of lower corporate taxes. Instead, the Modi government has ventured into relatively uncharted territory by providing incentives directly for hiring. In doing so, it seeks to achieve a trinity of objectives. The five-fold employment package focuses on upgrading the skill pool at one level and Employment-Linked Incentives (ELIs) for the private sector at another while nudging the economy towards formalisation by bringing all recruits into the EPFO (Employees' Provident Fund Organisation) orbit.

Three of the five schemes are built around ELIs. In the first, the government will give fresh recruits one month of their wage, up to a maximum of Rs 15,000, in three instalments. This is meant to meet their transport and living costs. With a salary eligibility limit of Rs 1 lakh a month, this is expected to benefit 21 million youth over two years, at a total cost of Rs 23,000 crore to the exchequer. The second scheme seeks to stimulate job creation in the manufacturing sector, with benefits being provided at specified scales both to the first-time recruit and the employer concerning their EPFO contribution in the first four years of employment. The expected pool of beneficiaries—3 million youth and their employers—again gives us a sense of the target for job creation, with a cost to the exchequer of Rs 52,000 crore. The third scheme incentivises employers across sectors to hire "additional" employees within a salary of Rs 1 lakh per month, and not necessarily first-timers. The government will reimburse employers up to Rs 3,000 per month for two years towards their EPFO contribution for each additional employee. The scheme hopes to benefit 5 million recruits and costs Rs 32,000 crore.

Perhaps the most ambitious of the employment package is the fourth scheme, which envisages year-long internships in 500 top companies for 10 million youth across five years—with a Rs 5,000 monthly allowance and a one-time assistance of Rs 6,000. The companies that volunteer are expected to foot much of the bill for training from their CSR (corporate social responsibility) funds. This is a way of shifting the burden to the private sector, since many government skilling schemes have had little impact. The scheme will cost the government Rs 63,000 crore. Along a fifth flank, the Centre has finally moved to course-correct its skilling programme by upgrading 1,000 Industrial Training Institutes (ITIs) in hub-and-spoke arrangements over the next five years. The Centre will meet 50 per cent of the costs, entailing an outgo of Rs 30,000 crore, the states will contribute 33.3 per cent, and corporates will come in with CSR funding. The idea is to impart cutting-edge skill training that will benefit over 2 million youth over five years while creating precious human resources for industry. Hopefully, the private sector will cooperate in these schemes and the bureaucracy won't make a bundle of red tape around them, nor the government rely on pressure to create participation.

These schemes naturally have a gestation period before they fully yield fruit. So, the Modi government has also spread its bets. It infuses lifeblood into the vast universe of medium, small and micro enterprises (MSMEs), where robust absolute numbers can be generated regarding jobs, with a new credit guarantee scheme and another formal mechanism to ensure uninterrupted credit lines. The Rs 2.2 lakh crore boost to housing under PM Awas Yojana Urban 2.0 is expected to create plenty of new jobs in construction. As a stimulus for start-ups, the angel tax has been abolished, and the ceiling of Mudra loans for small-time entrepreneurs has been doubled to Rs 20 lakh.

On other fronts, Budget 2024 is a document of continuity and fiscal prudence. Commendably, it has stayed the course with Modi's twin focus on infrastructure and welfare while keeping the fiscal deficit within tolerable limits. Income tax rebates, though slender, give hope that they can revive consumer demand and, eventually, employment. Because of the emphasis on jobs for the youth, our cover package is titled 'The New Gen Budget'. However, there are some missing pieces. The plan for disinvestment and asset monetisation has a jarring lack of continuity. It seems to have fallen off the radar, perhaps due to coalition constraints or fear of vigorous attack from the Opposition. In any case, as expected, the government got flak from the Opposition for the special sops given to the BJP's alliance partners from Bihar and Andhra Pradesh. Tourism, an obvious sector to cultivate for both unskilled and skilled jobs, gets only a passing nod, with pilgrimage-based ideas for Bihar.

On the whole, it is a welcome budget as it has no shocks that can upset India's impressive GDP growth path. Furthermore, it has not succumbed to undue populism. Most importantly, it has taken a long-term view of developing our enormous human capital, without which there can be no Viksit Bharat.

(Aroon Purie)